



K.V. Kamath

CHAIRMAN, NATIONAL BANK FOR
FINANCING INFRASTRUCTURE
AND DEVELOPMENT (NaBFID)

BUILDING FINANCIAL RESILIENCE

India's experience of handling critical challenges in the past few years could provide a basis to refresh the economics of the world

84 |



Sovereign debt has far-reaching consequences... We will see very interesting outcomes with time

THE CURRENT ECONOMIC epoch is fascinating, and India's exceptional achievements make the country stand out. The country has successfully handled several challenges, including healthcare issues during the Covid-19 outbreak and recent events in Europe, without causing significant disruptions or economic spillovers. These successes offer valuable lessons for the world, particularly in the areas of interest rate management, inflation control, supply chain resilience and healthcare. India's experiences could serve as a model for other countries, leading to a necessary refresh or rewrite of economics textbooks for modern times and elevating India's presidency to a new normal.

In fact, India's inclusive model has been exemplified through Jan Dhan accounts, Aadhaar and mobile connectivity. Together, these fundamental pillars make up the India Stack, a powerful inclusive model that presents a significant global opportunity. The India Stack has enabled millions of previously unbanked individuals to access financial services, providing them with a pathway to economic empowerment. Moreover, the inclusive model's success can serve as a blueprint for G20 and other nations seeking to address similar challenges in healthcare, education and other sectors.

Since Indian enterprises have mastered the process of inclusion, they have a compelling case for expanding to other regions including Africa, a significant portion of Europe and South America. By exporting their inclusive model, Indian businesses can play a pivotal role in transforming the lives of underserved populations in various parts of the world. This expansion would not only create new economic opportunities but also foster sustainable development and bridge the digital divide.

Sovereign debt is an extremely sensitive subject that has far-reaching consequences for countries around the world. As various nations have accumulated their national debt through diverse means, including borrowing through state enterprises, the complexity of the matter demands a nuanced and meticulous approach. We will see very interesting outcomes as time progresses. The evolving economic landscape necessitates a far more granular examination of the issue, unlike the approaches taken in the past. Understanding the intricacies of each country's debt accumulation process is crucial for devising effective solutions and ensuring economic stability.

In my view, the coordination between monetary and fiscal policy is